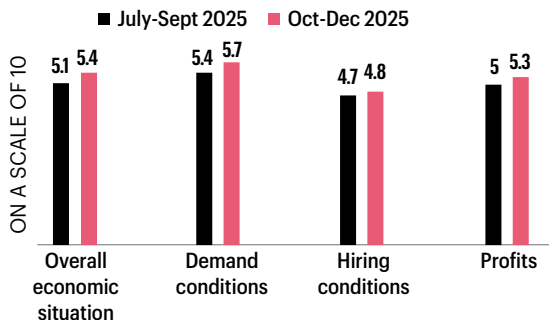
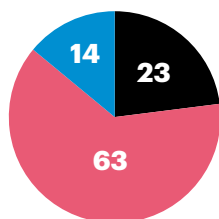


GST CUTS, FESTIVE SALES BOOST Q3 CONFIDENCE



Are you looking at capital investments this fiscal with higher consumer demand and lower interest rates?



■ Yes ■ No ■ Can't Say

Have you seen an improvement in ease of carrying out your business over the years?



Centre and states on capital expenditure.

“The issue is with consumer-based industries and link industries or micro, small and medium enterprises,” Sabnavis says, noting that corporate commentary for the second quarter of the fiscal has not been very positive.

With several MSMEs also exporting output, US tariffs would have lowered their confidence; even those that are



“The bigger question is whether this consumption demand will continue. We need to not only create jobs but create jobs that have more discretionary income”

MADAN SABNAVIS
CHIEF ECONOMIST,
BANK OF BARODA

getting orders may have had to offer discounts to remain competitive.

Corporate revenue is expected to have grown a modest 5-6% year-on-year in the July-September quarter following an underwhelming performance by power, coal, IT services, and steel sectors, which together account for around one-third revenue of over 600 companies analysed by Crisil. “Continuing geopolitical uncertainties weighed on the IT services sector, with project deferrals likely limiting revenue growth to 1%. In the steel sector, despite volume growth of 9%, revenue is expected to have grown at a moderate rate,” says Miren Lodha, Senior Director, Crisil Intelligence.

Dipti Deshpande, Principal Economist, Crisil, concurs it’s not easy to decipher what’s happening in the economy as there are too many moving parts. “Broadly, tariffs, policy support and structural reforms are the three lenses through which one needs to understand how growth is panning out. For the short term, the big question is—will domestic demand support growth or will export slowdown play a larger role in influencing growth?” she says. Crisil’s assessment suggests consumption is playing a strong role today, she adds.

“But we need to acknowledge that there is pain in pockets. Higher US tariffs have bitten into exports, and by the time a trade deal is struck, maybe at the end of this month or later in the year, some damage would have been caused,” she says, adding that investment demand is also subdued. The agency has maintained its GDP growth forecast for FY26 at 6.5%, the same as the last fiscal, with downside risks from elevated US tariffs for a long period and weaker global growth.

Not surprisingly, businesses are also uncertain about demand, both in domestic and export markets. To a pointed question on their outlook for domestic growth prospects this fiscal, only 39% expect growth to do rise due to better domestic demand while 32% expect it to be slower due to weaker exports.